



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Ordinary Level

ECONOMICS

PAPER 1 Multiple Choice

4050/1

1 hour 30 minutes

SPECIMEN PAPER

Additional materials:

Multiple Choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

INSTRUCTIONS TO CANDIDATES

Answer **all** questions.

For each question there are **four** possible answers **A, B, C** and **D**.

Answer **all** questions. For each question, there are four possible answers, **A, B, C** and **D**.

Choose the correct answer. Record your choice in **soft pencil** on the separate answer sheet provided.

INFORMATION FOR CANDIDATES

There are **forty** questions in this paper. Each correct answer will score **one** mark. Any rough working should be done in this booklet.

This specimen paper consists of 9 printed pages.

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1. The government of Zimbabwe desires to dualise the Bulawayo – Victoria falls highway but is facing budgetary constraints.

This illustrates _____

- A choice
- B scarcity
- C factor rewards
- D opportunity cost

2. The goods and services we require in order to survive such as sadza are known as

- A resources
- B wants
- C commodities
- D needs

3. The economic system which has little or no competition is a _____

- A mixed economy
- B capitalist
- C command economy
- D free market economy

4. Shortage of goods in a command economy leads to _____

- A long queues and rationing
- B quality goods and variety
- C competition and quality goods
- D self-interest and freedom of choice

5. Birchenough bridge and Masvingo road are part of

- A land
- B capital
- C labour
- D enterprise

6. The stage of production where distribution of goods is done is _____.

- A transport
- B primary
- C secondary
- D tertiary

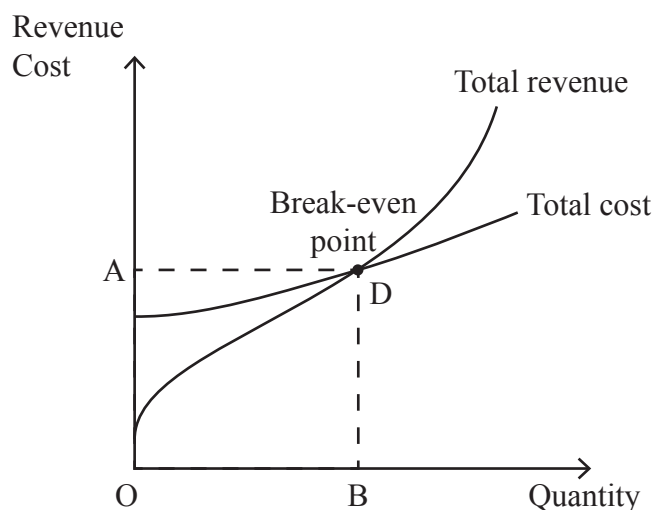
7. One of the roles of employers' association such as Retail Association of Zimbabwe (RAZ) is to
- A represent workers during collective bargaining
 - B educate workers on their rights at work.
 - C represent companies during collective bargaining
 - D represent government during collective bargaining
8. Which of the following factors cause an increase in demand for miners of Bikita Minerals?
- A Technical progress
 - B A rise in wage rate for lithium miners
 - C A rise in lithium demand
 - D Increase in labour costs for the miner
9. The sum of individual demand for tomatoes at Mbare Musika represents _____.
- A demand schedule
 - B demand curve
 - C market demand
 - D individual demand
10. A change quantity demanded for bread in Kadoma is caused by
- A change in preference or taste
 - B change in price of buns
 - C change in population in Kadoma
 - D change in the price of bread
11. The law of supply states that, all things being equal, more of a good is supplied when the price is _____
- A lowered
 - B increased
 - C unchanged
 - D unequal
12. The price of bread increased from ZiG20 to ZiG40 and quantity supplied rose from 40 to 70 loaves per week.
- What is the price elasticity of supply (PES) for bread?
- A 0,75
 - B 0,84
 - C 1,33
 - D 15

13. The quantity supplied and quantity demanded for tomatoes per kilogram at Mbare Musika are as follows:

Price	Quantity supplied	Quantity demanded
\$2	200	400
\$3	300	300
\$4	400	200
\$5	500	100

What is the equilibrium price per kilogram of tomatoes?

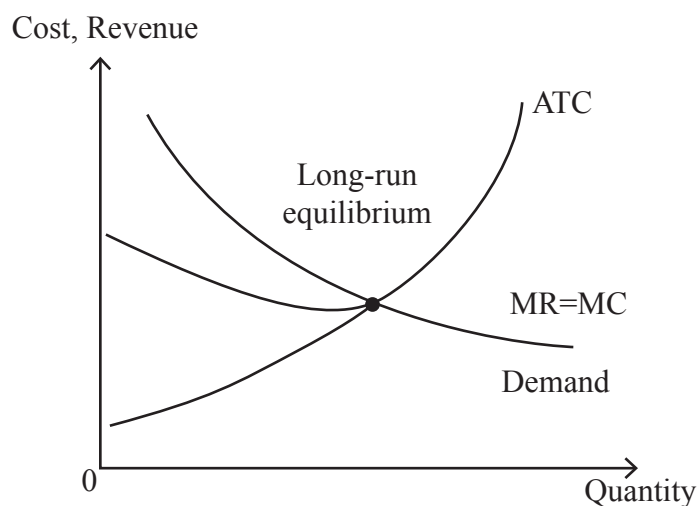
- A** \$2
B \$3
C \$4
D \$5
14. The Ministry of Primary and Secondary Education has pegged the maximum school fees for all schools in Zimbabwe, This price ceiling set is meant to _____.
- A** protect the parents from exploitation.
B protect the schools from exploitation.
C increase the price of school fees paid.
D increase the number of school drop outs.
15. The diagram below shows the revenue and cost curves for a firm.



Identify the breakeven output

- A** OA
B OB
C OC
D OD

16. A period of time in which a firm has both fixed and variable factors of production is known as the
- A momentary
 - B short run
 - C long run
 - D very long run
17. The diagram below shows long run equilibrium of a firm.



In which market structure is this firm?

- A monopoly
 - B oligopoly
 - C perfect competition
 - D monopolistic competition
18. Homogenous products such as kombi travel from Chitungwiza to city are
- A differentiated
 - B complementary
 - C identical
 - D substitutes
19. A public limited company such as Econet wireless is controlled by
- A shareholders
 - B government minister
 - C parastatal manager
 - D board of directors

20. Which of the following is a disadvantage of a partnership such as Dube and Manikai (partners) Law chambers?
- A More resources
 - B Shared profits
 - C Easy to set up
 - D Few legal formalities
21. The total value of all final goods and services produced from resources owned by Zimbabweans wherever they are, is known as _____
- A Gross Domestic Product
 - B Final output produced
 - C Gross National Product
 - D National output produced
22. Which of the following problems is encountered when measuring national income of Zimbabwe?
- A future planning
 - B underground activities
 - C international assistance
 - D value addition
23. Trojan Mine in Bindura requires mortgage finance to build a factory. Which financial institutions should the business approach?
- A merchant banks
 - B commercial banks
 - C building societies
 - D discount houses
24. What is barter trade?
- A Trading peanut butter
 - B exchanging one good or service for another
 - C exchanging of goods for money
 - D buying on credit

25. The table below shows retail price indices for Zimbabwe in 2024 and 2025.
Base year 2023 = 100.

Year	Price Index
2024	120
2025	150

Calculate the rate of inflation in 2024.

- A 10%
B 20%
C 30%
D 40%
26. Inflation can be defined as
- A a sudden and self-contained increase in prices
B a once off increase in prices in general
C a sustained increase in prices in general
D a small increase in prices
27. Dependency ratio can be calculated as
- A $\frac{\text{Number of dependent age group}}{\text{total population}} \times 100$
B $\frac{\text{Number of dependent age groups}}{\text{total number of the employed}} \times 100$
C $\frac{\text{Number of dependent age group}}{\text{number in the labour force}} \times 100$
D $\frac{\text{Number of the elderly groups}}{\text{total population}} \times 100$
28. HIV / AIDS results in a depleted middle aged population.
What effect does this have on the Zimbabwean economy?
- A Increased birth rate
B Increased fertility rate
C Increased per capita income
D Increased dependency ratio
29. Occupational mobility can be increased by improving
- A access to labour market information
B the accessibility of an area
C the level of technology
D access to health facilities

30. Which of the following is an effect of unemployment in Zimbabwe?
- A It slows down economic growth
 - B It helps in income redistribution
 - C It increases government revenue
 - D It improves standards of living
31. Domestic trade differs from foreign trade because domestic trade uses
- A regional currency
 - B local currency
 - C baster
 - D foreign currency
32. Which of the following is a unique feature of retailers such as OK Zimbabwe
- A extended trading hours
 - B breaking the bulk
 - C offering credit to customers
 - D running of sales promotions
33. Which of the following is a benefit of sustainable development
- A over-exploitation and depletion of resources
 - B preservation of natural resources for future use
 - C opportunity cost of the resources used
 - D a lot of time is spent in mobilising resources for environment management
34. Economic growth is defined as an increase in _____.
- A working hours
 - B nominal hours
 - C real GDP
 - D population
35. Which government measure is designed to reduce negative externalities caused by Boka Tobacco Auction floors?
- A Removal of smoking fines
 - B Reducing spending on education
 - C Reduction in tax on cigarettes
 - D Removal of subsidies on tobacco farmers

36. Which of the following is a negative externality?
- A Immunisation against Covid –19.
 - B Pollution by sable chemicals.
 - C Street lights along Khami Road.
 - D A beautiful house in Luveve, Bulawayo.
37. The other name for price is
- A average revenue
 - B marginal revenue
 - C sales revenue
 - D total revenue
38. In Zimbabwe, there are people who are unemployed due to a fall in demand for goods and services. This type of unemployment is called
- A cyclical
 - B friction
 - C seasonal
 - D structural
39. What is the most common form of money in Zimbabwe
- A Bank notes
 - B Cheques
 - C Credit note
 - D Barter
40. Sustainable resource allocation exists if _____.
- A resources are left for future use
 - B resources are exhausted and the future needs cannot be met
 - C extra resources are available for allocation and distribution
 - D resources are fully utilised